

fer because they had committed an error of judgment, and L. J. James observed, "It would be very hard upon executors who have been saddled with property of this speculative kind, and have endeavoured to do their duty honestly, if they were to be fixed with a loss arising from their not having taken what, as it was proved by the result, would have been the best course" (b).] But in *Grayburn v. Clarkson*, where the testator died possessed of shares in the Leeds Banking Company which involved a liability without limit, and the shares remained unsold for many years, L. J. Wood said that there was no fixed rule that conversion *must* take place by the end of one year, but that such was the *prima facie* rule, and that executors who did not convert by that time, must show some reason why they did not (c); and the Court directed an inquiry whether any loss had accrued by the neglect to sell by the end of one year from the death of the testator, and declared the executor responsible for any such loss (d). And again in *Sculthorpe v. Tipper* (e), where a testator died possessed of shares in an unlimited Banking Company, and directed his executors to realize his personal estate "immediately after his decease, or so soon thereafter as his trustees might see fit so to do," the trustees acting, as they believed, for the best interests of the parties, neglected for two years and a quarter to sell the shares, and they were made liable for the consequences, the Vice-Chancellor observing that although a discretion was vested in the trustees, they were bound to exercise it within a reasonable time, that is within a year. This has been considered a somewhat harsh decision. Had the testator simply directed the executors to realize immediately after his decease, * they would still have had the year, and the Vice- [*290] Chancellor therefore gave no effect to the words of the power, "or so soon thereafter as they might see fit." The question should rather have been, Was the discretion vested in them *bonâ fide* exercised? In another case where

[(b) *Marsden v. Kent*, 5 Ch. D. 598.]

(c) *Grayburn v. Clarkson*, 3 L. R. Ch. App. 606.

(d) *Grayburn v. Clarkson*, 3 L. R. Ch. App. 605; and see *Sculthorpe v.*

Tipper, 13 L. R. Eq. 232.

(e) 13 L. R. Eq. 232.